

revaluations totalling 20.4 million Swiss francs is included in the Revaluation Reserve Surplus which forms part of WIPO's net assets. Market value was estimated by capitalizing at an appropriate investment yield the future potential income stream from the property. The potential income is based on comparable rentals in the market and takes into account the quality of the spaces as well as the location. The yield has been selected by reference to the perceived quality and duration of the income and the potential for further rental growth and is cross-referenced by the evidence provided by comparable sales.

WIPO holds heritage assets, referred to as works of art, representing items donated or loaned to the Organization by representatives or officials of Member States or other public or private entities or individuals. The works of art held by WIPO include paintings, sculptures, decorative objects, historical documents and other items. As at December 31, 2020, the Organization held a total of 592 items classified as works of art. WIPO has elected not to recognize works of art as assets in the Statement of Financial Position, in accordance with IPSAS 17. The 592 items are classified as follows:

Number of Works of Art	2020	2019
Framed artwork	171	164
Sculptures	78	75
Decorative objects	80	71
Furniture	38	38
Tapestries/carpets	33	33
Other commemorative objects	28	26
Primitive arts	21	21
Ceramic/porcelain	20	20
Silverware	18	18
Other works of art	105	101
Total	592	567

Under the WIPO Policy on Property Management and the related Property Management Manual, the Organization has established processes and procedures for the management of works of art, including the final determination as to whether an item is deemed to be a work of art. Works of art are held in controlled access storage until such time as a decision is taken in relation to the placement of an item. Most of the small and fragile works of art are stored in closed cabinets. The dedicated storage is currently being improved to enhance protection from dust and possible water damage. In addition, works of art placed in lobbies, offices and on office floors in WIPO's buildings benefit from existing security measures. All works of art are recorded in the Asset Management Module of WIPO's ERP system, and are included in the Organization's annual physical inventory process. Formal confirmations that works of art are held by WIPO are provided to donors upon request.

Note 8: Other Non-Current Assets

	December 31, 2020	December 31, 2019
	<i>(in thousands of Swiss francs)</i>	
Loan to FIPOI	7,995	7,878
Advance for FIPOI concessionary loan	-	118
FIPOI loan amortization	-	189
Total other non-current assets	7,995	8,185

In 1991 the Organization entered into an agreement with the International Centre of Geneva Foundation (FCIG) related to the construction of a building on rue des Morillons in Geneva, Switzerland. The agreement provided for the Organization to advance the initial sum of 10.0 million Swiss francs, plus a further sum of 1.0 million Swiss francs representing interest on the initial advance, equaling a total advance of 11.0 million Swiss francs. In 2016 the FCIG was absorbed by law into the Foundation for Buildings for International Organizations (FIPOI).

WIPO also entered into an agreement to lease the building from FCIG (subsequently amended to FIPOI). The current lease agreement, which was updated and signed by WIPO in 2019, includes an annual amortization charge of 188,679 Swiss francs against WIPO's advance to FIPOI. On termination of the lease, upon vacating the premises WIPO is to be repaid the balance of the 11.0 million Swiss francs advance after amortization. FIPOI will also retain 1.0 million Swiss francs from the advance for restoration of the building to its original condition.